COVER SHEET
for
AUDITED FINANCIAL STATEMENTS

SEC Registration Number

PW-15A

COMPANY NAME

ROXAS HOLDINGS, INC. AND SUBSIDIARIES

PRINCIPAL OFFICE (*No. / Street / Barangay / City / Town / Province*)

Unit 10-B Six/Neo Bldg. 5th Ave. cor. 26th St. Bonifacio Global City, Taguig City 1634 Metro Manila

Form Type	Department requiring the report	Secondary License Type, If Applicable
17-Q		N/A

COMPANY INFORMATION

Company's Email Address	Company's Telephone Number	Mobile Number
corporatesecretary@rhi.com.ph	09985914710	09985914710

No. of Stockholders	Annual Meeting (Month / Day)	Fiscal Year (Month / Day)
2,059	2nd Wednesday of March	September 30

CONTACT PERSON INFORMATION

The designated contact person ***MUST*** be an Officer of the Corporation

Name of Contact Person	Email Address	Telephone Number/s	Mobile Number
Whilczel D. Canlas	**whilczel.canlas@rhi.com.ph**	**0998 591 4710**	**0998 591 4710**

CONTACT PERSON's ADDRESS

Unit 10-B, Six/Neo Bldg., 5th Ave. cor. 26th St., Bonifacio Global City, Taguig City 1634, Metro Manila

NOTE 1 In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2 All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.

SEC Number PW 15
File ______________

ROXAS HOLDINGS, INC. (formerly CENTRAL AZUCARERA DON PEDRO, INC.)

(Company's Full Name)

Unit 10-B Six/Neo Building, 5th Ave. cor. 26th St.,
Bonifacio Global City, Taguig City 1634, Metro Manila

(Company's Address)

09985914710

(Company's Telephone Number)

September 30, 2023

(Fiscal Year Ending)

SEC Form 17-Q

(Form Type)

Amended Designation (If Applicable)

June 30, 2024

Period Ended Date

(Secondary License Type and File Number)

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarter ended: 30 June 2024

2. Commission Identification Number 15A

3. BIR Tax Identification No. 000-290-538

4. Exact name of registrant as specified in its charter ROXAS HOLDINGS, INC. (FORMERLY CENTRAL AZUCARERA DON PEDRO, INC.)

5. Province, country or other jurisdiction of incorporation or organization
Philippines

6. Industry Classification Code:

7. Address of principal office — Postal Code
Unit 10-B Six/Neo Building, 5th Ave. cor. 26th St.,
Bonifacio Global City, Taguig City, Metro Manila — 1634

8. Registrant's telephone number, including area code
(63) 998 591 4710

9. Former name, former address and former fiscal year, if changed since last report
Not Applicable

10. Securities registered pursuant to Sections 8 and 12 of the SRC, or Sec. 4 and 8 of the RSA

Title of Each Class	Number of Shares and Amount of Debt Outstanding
Authorized Capital Stock:	2,000,000,000
No. of common shares issued and outstanding	1,547,935,799
No. of preferred shares issued and outstanding	-

11. Are any or all of these securities listed on the Philippine Stock Exchange.

Yes [X] No [ ]

12. Indicate by check mark whether the registrant:

    (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding 12 months (or for such shorter period the registrant was required to file such reports)

    Yes [ ] No [X]

    (b) has been subject to such filing requirements for the past 90 days

    Yes [X] No [ ]

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ROXAS HOLDINGS, INC. AND SUBSIDIARIES

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
June 30, 2024
(*With Comparative Audited Balances as at September 30, 2023)*
(Amounts in Thousands)

	Note	June 30, 2024 (Unaudited)	September 30, 2023 (Audited)
ASSETS			
Current Assets			
Cash and cash equivalents	3	₱1,394	₱51,452
Trade and other receivables	4	118,312	137,103
Inventories	5	153,291	192,238
Other current assets	6	75,913	73,304
		348,910	454,097
Assets Held for Sale	7	3,516,964	4,157,585
Noncurrent Assets			
Property, plant and equipment:	7		
At cost		1,735,594	1,988,351
At revalued amount		19,467	19,467
Investment properties		5,846,190	5,846,190
Retirement assets – net		–	11,073
Other noncurrent assets		1,471,654	1,471,100
		9,072,905	9,336,181
		₱12,938,780	₱13,493,766
LIABILITIES AND EQUITY			
Current Liabilities			
Current portion of long-term borrowings	8	₱4,292,029	₱4,485,398
Trade and other payables	10	2,886,601	2,348,854
		7,178,630	6,834,252
Liability directly associated with the assets held for sale		1,703,755	1,770,331
		8,882,385	8,604,583
Noncurrent Liabilities			
Retirement liabilities -net		100,042	266,165
Deferred tax liabilities - net		1,454,854	1,454,744
Other noncurrent liabilities		252,000	–
		1,806,896	1,720,909
Total Liabilities		10,689,281	10,325,492

(Forward)

	Note	June 30, 2024 (Unaudited)	September 30, 2023 (Audited)
Equity Attributable to the Equity Holders of the Parent Company	11		
Capital stock		₱1,565,579	₱1,565,579
Additional paid-in capital		2,842,183	2,842,183
Treasury stock		(52,290)	(52,290)
Other equity items and reserves		4,944,862	4,944,862
Equity portion of convertible note		21,130	21,130
Deficit		(7,082,542)	(6,170,653)
		2,238,923	3,150,811
Non-controlling Interests		10,576	17,463
		2,249,499	3,168,274
		₱12,938,780	₱13,493,766

See accompanying Notes to Consolidated Financial Statements.

ROXAS HOLDINGS, INC. AND SUBSIDIARIES

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF INCOME FOR THE NINE-MONTH PERIODS ENDED JUNE 30, 2024 AND 2023

(Amounts in Thousands, except Basic and Diluted Earnings per Share Data)

	Three-Month Period April 1 to June 30 (Unaudited)		Nine-Month Period October 1 to June 30 (Unaudited)	
	2024	2023	**2024**	2023
REVENUES FROM CONTRACTS WITH CUSTOMERS (Note 14)	**–**	₱364,606	**₱48,643**	₱6,054,345
COST OF SALES (Note 15)	**–**	(618,490)	**(134,003)**	(6,440,481)
GROSS INCOME	**–**	(253,884)	**(85,360)**	(386,136)
OPERATING expenses (Note 16)	**(95,997)**	(107,735)	**(227,073)**	(380,621)
INTEREST EXPENSE (Note 8)	**(104,823)**	(107,370)	**(302,322)**	(300,995)
Other income (LOSS) – Net (Note 18)	**4,608**	83,952	**81,706**	92,788
LOSS BEFORE INCOME TAX	**(196,212)**	(385,038)	**(533,049)**	(974,964)
INCOME TAX EXPENSE				
Current	**(39)**	(8)	–	(15)
NET LOSS FROM CONTINUING OPERATIONS	**(196,251)**	(385,045)	**(533,049)**	(974,979)
NET LOSS FROM DISCONTINUED OPERATIONS (Note 7)	**(73,299)**		**(299,090)**	–
NET LOSS	**(269,549)**	(385,045)	**(832,139)**	(974,979)
Net loss attributable to:				
Equity holders of the Parent Company	**(268,437)**	(384,712)	**(828,706)**	(970,957)
Non-controlling interests	**(1,112)**	(333)	**(3,433)**	(4,022)
	(₱269,549)	(₱385,045)	**(₱832,139)**	(₱974,979)
LOSS PER SHARE ATTRIBUTABLE TO EQUITY HOLDERS OF THE PARENT COMPANY				
Basic	**(0.17)**	(0.24)	**(0.53)**	(0.62)
Diluted	**(0.17)**	(0.24)	**(0.53)**	(0.62)

See accompanying Notes to Consolidated Financial Statements.

ROXAS HOLDINGS, INC. AND SUBSIDIARIES

INTERIM CONDENSED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE NINE-MONTH PERIODS ENDED
JUNE 30, 2024, AND 2023
(Amounts in Thousands)

	Three-Month Period Apr 1 to June 30 (Unaudited)		Nine-Month Period October 1 to June 30 (Unaudited)	
	2024	2023	2024	2023
NET COMPREHENSIVE LOSS	**(269,549)**	**(385,045)**	**(896,571)**	**(974,979)**
Total comprehensive loss attributable to:				
Equity holders of the Parent Company	(268,437)	(384,712)	(889,683)	(970,957)
Non-controlling interests	(1,112)	(333)	(6,887)	(4,022)
	(269,549)	**(385,045)**	**(896,571)**	**(974,979)**

See accompanying Notes to Financial Statements.

ROXAS HOLDINGS, INC. AND SUBSIDIARIES

INTERIM CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE NINE-MONTH PERIODS ENDED
JUNE 30, 2024 AND 2023
(Amounts in Thousands)

	Three-Month Period Apr 1 to June 30 (Unaudited)		Nine-Month Period October 1 to June 30 (Unaudited)	
	2024	2023	**2024**	2023
CAPITAL STOCK	1,565,579	1,565,579	**1,565,579**	1,565,579
ADDITIONAL PAID-IN CAPITAL	2,842,183	2,842,183	**2,842,183**	2,842,183
TREASURY STOCK	(52,290)	(52,290)	**(52,290)**	(52,290)
EQUITY PORTION OF CONVERTIBLE NOTE	21,130	21,130	**21,130**	21,130
OTHER EQUITY RESERVES	4,944,862	4,766,215	**4,944,862**	4,766,215
DEFICIT				
Beginning balance	(6,814,104)	(4,502,315)	**(6,170,653)**	(3,916,070)
Net loss attributable to equity holders of the Parent Company	(268,437)	(384,712)	**(911,888)**	(970,957)
	(7,082,541)	(4,887,027)	**(7,082,541)**	(4,887,027)
NON-CONTROLLING INTERESTS				
Beginning balance	11,688	34,850	**17,463**	38,539
Net loss attributable to non-controlling interests	(1,112)	(333)	**(6,887)**	(4,022)
	10,576	34,517	**10,576**	34,517
TOTAL EQUITY	2,249,499	4,290,307	**2,249,498**	4,290,307

See accompanying Notes to Consolidated Financial Statements.

ROXAS HOLDINGS, INC. AND SUBSIDIARIES

INTERIM CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE NINE-MONTH PERIODS ENDED
JUNE 30, 2024 AND 2023
(Amounts in Thousands)

	June 30, 2024 (Unaudited)	June 30, 2023 (Unaudited)
CASH FLOWS FROM OPERATING ACTIVITIES		
Loss before income tax	(₱896,571)	(₱974,964)
Adjustments for:		
Interest expense	302,322	307,593
Depreciation and amortization	98,764	293,661
Retirement expense	11,073	24,405
Gain from disposal of property, plant and equipment	–	1,279
Interest income	–	(77)
Operating loss before changes in working capital	(484,412)	(348,103)
Decrease (increase) in:		
Trade and other receivables	18,791	128,125
Inventories	4,456	387,349
Other current assets	(2,609)	58,603
Increase in trade and other payables	658,844	(348,824)
Net cash provided by operating activities	229,561	(122,850)
Retirement benefits paid	–	(103,447)
Interest received		77
Income taxes paid	–	(42)
Net cash flows provided by operating activities	229,561	(226,262)
CASH FLOWS FROM INVESTING ACTIVITIES		
Additions to property, plant and equipment	–	(166,633)
Decrease in other noncurrent assets	554	(60,648)
Proceeds from disposal of property, plant and equipment	16,487	901,979
Net cash flows used in investing activities	17,041	674,698
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments of:		
Interest	(101,270)	(230,910)
Principal of long-term borrowings	(195,390)	(178,280)
Net cash flows provided by (used in) financing activities	(296,660)	(409,210)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(50,058)	39,226
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	51,452	292,530
CASH AND CASH EQUIVALENTS AT END OF PERIOD	₱1,394	₱331,756

See accompanying Notes to Financial Statements.

ROXAS HOLDINGS, INC. AND SUBSIDIARIES

NOTES TO INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

Roxas Holdings, Inc. (RHI or the Parent Company), doing business under the name and style of CADP Group, was organized in the Philippines and registered with the Philippine Securities and Exchange Commission (SEC) on October 30, 1930 for the purpose of operating mill and refinery facilities to manufacture sugar and allied products.

In July 1996, the Parent Company offered its shares to the public through an initial public offering. On August 8, 1996, the shares of stock of the Parent Company were listed in the Philippine Stock Exchange (PSE).

On February 1, 2017, the Board of Directors (BOD) approved the issuance of convertible debt securities amounting to ₱523,750,000 to First Pacific Natural Resources Holdings, BV (FPNRH), convertible to 125,000,000 million common shares of RHI at the option of the holder and bears annual interest at 3%.

On February 15, 2017, the shareholders approved the amendment of the Parent Company's articles of incorporation to increase the authorized capital stock from ₱1,500,000,000 to ₱2,000,000,000 divided into 2,000,000,000 with par value of ₱1.00 per share. On the same day, the shareholders approved the subsequent application of the convertible note as subscription to 125,000,000 common shares arising from the increase in authorized capital stock at a conversion rate of ₱4.19 for every common share.

On July 14, 2017, the SEC approved the Parent Company's application for increase in authorized capital stock using the convertible debt securities as payment for subscription. Accordingly, FPNRH interest on the Parent Company increased from 27% to 32%.

The corporate office of the Parent Company is located at Unit 10-B Six/Neo Building, 5th Ave. cor. 26th Ave., Bonifacio Global City, Taguig City 1634, Metro Manila while the manufacturing plants of its operating subsidiaries are in Barrio Lumbangan, Nasugbu, Batangas and San Carlos Ecozone, San Carlos City, Negros Occidental.

The interim condensed consolidated financial statements of the Parent Company and its subsidiaries (collectively, the Group) for the nine-month period ended June 30, 2024 were authorized for issue in accordance with a resolution of the Board of Directors on June 30, 2025.

2. Basis of Preparation and Basis of Consolidation

Basis of Preparation

The consolidated financial statements of the Group have been prepared on a historical cost basis, except for land and investment properties that are measured at fair value. The consolidated financial statements have been presented in Philippine Peso, which is the functional currency of the Group. All amounts are rounded to the nearest thousands, except for number of shares and unless otherwise indicated.

The interim condensed financial statements have been prepared in accordance with Philippine Accounting Standards (PAS) 34, Interim Financial Reporting.

The unaudited interim condensed financial statements do not include all the information and disclosures required in the annual audited financial statements and should be read in conjunction with the Company's annual audited financial statements as at and for the year ended September 30, 2023, which have been prepared in accordance with Philippine Financial Reporting Standards (PFRS).

Adoption of New and Revised PFRS

The Group adopted the following amendments and improvements to PFRS effective January 1, 2023 as summarized below.

Pronouncements on standards issued but not yet effective are also listed below. Unless otherwise indicated, the Group does not expect that the future adoption of any of the said pronouncements will have a significant impact on its consolidated financial statements. The Group intends to adopt any of said pronouncements when they become effective.

Effective beginning on or after January 1, 2023 (October 1, 2023 for the Group)

- Amendments to PAS 1 and PFRS Practice Statement 2, *Disclosure of Accounting Policies*

  The amendments provide guidance and examples to help entities apply materiality judgements to accounting policy disclosures. The amendments aim to help entities provide accounting policy disclosures that are more useful by:

  - Replacing the requirement for entities to disclose their 'significant' accounting policies with a requirement to disclose their 'material' accounting policies, and
  - Adding guidance on how entities apply the concept of materiality in making decisions about accounting policy disclosures

  The amendments to the Practice Statement provide non-mandatory guidance. Meanwhile, the amendments to PAS 1 are effective for annual periods beginning on or after January 1, 2023. Early application is permitted as long as this fact is disclosed. The amendments are not expected to have a material impact on the Group.

- Amendments to PAS 8, *Definition of Accounting Estimates*

  The amendments introduce a new definition of accounting estimates and clarify the distinction between changes in accounting estimates and changes in accounting policies and the correction of errors. Also, the amendments clarify that the effects on an accounting estimate of a change in an input or a change in a measurement technique are changes in accounting estimates if they do not result from the correction of prior period errors.

  An entity applies amendments to changes in accounting policies and changes in accounting estimates that occur on or after January 1, 2023 with earlier adoption permitted. The amendments are not expected to have a material impact on the Group.

- Amendments to PAS 12, *Deferred Tax related to Assets and Liabilities arising from a Single Transaction*

The amendments narrow the scope of the initial recognition exception under PAS 12, so that it no longer applies to transactions that give rise to equal taxable and deductible temporary differences.

The amendments also clarify that where payments that settle a liability are deductible for tax purposes, it is a matter of judgement (having considered the applicable tax law) whether such deductions are attributable for tax purposes to the liability recognized in the financial statements (and interest expense) or to the related asset component (and interest expense).

An entity applies the amendments to transactions that occur on or after the beginning of the earliest comparative period presented for annual reporting periods on or after January 1, 2023.

- *Amendments to PAS 12, International Tax Reform – Pillar Two Model Rules*

  The amendments introduce a mandatory exception in PAS 12 from recognizing and disclosing deferred tax assets and liabilities related to Pillar Two income taxes.

  The amendments also clarify that PAS 12 applies to income taxes arising from tax law enacted or substantively enacted to implement the Pillar Two Model Rules published by the Organization for Economic Cooperation and Development (OECD), including tax law that implements qualified domestic minimum top-up taxes. Such tax legislation, and the income taxes arising from it, are referred to as 'Pillar Two legislation' and 'Pillar Two income taxes', respectively.

  The temporary exception from recognition and disclosure of information about deferred taxes and the requirement to disclose the application of the exception, apply immediately and retrospectively upon adoption of the amendments in June 2023.

  Meanwhile, the disclosure of the current tax expense related to Pillar Two income taxes and the disclosures in relation to periods before the legislation is effective are required for annual reporting periods beginning on or after January 1, 2023.

Effective beginning on or after January 1, 2024

- Amendments to PAS 1*, Classification of Liabilities as Current or Non-current*

  The amendments clarify:

  - That only covenants with which an entity must comply on or before reporting date will affect a liability's classification as current or non-current.
  - That classification is unaffected by the likelihood that an entity will exercise its deferral right.
  - That only if an embedded derivative in a convertible liability is itself an equity instrument would the terms of a liability not impact its classification

  The amendments are effective for annual reporting periods beginning on or after January 1, 2024 and must be applied retrospectively.

- Amendments to PFRS 16*, Lease Liability in a Sale and Leaseback*

The amendments specify how a seller-lessee measures the lease liability arising in a sale and leaseback transaction in a way that it does not recognize any amount of the gain or loss that relates to the right of use retained.

The amendments are effective for annual reporting periods beginning on or after January 1, 2024 and must be applied retrospectively. Earlier adoption is permitted and that fact must be disclosed.

Effective beginning on or after January 1, 2025

- PFRS 17, *Insurance Contracts*

  PFRS 17 is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosure. Once effective, PFRS 17 will replace PFRS 4, *Insurance Contracts*. This new standard on insurance contracts applies to all types of insurance contracts (i.e., life, non-life, direct insurance and re-insurance), regardless of the type of entities that issue them, as well as to certain guarantees and financial instruments with discretionary participation features. A few scope exceptions will apply.

  The overall objective of PFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers. In contrast to the requirements in PFRS 4, which are largely based on grandfathering previous local accounting policies, PFRS 17 provides a comprehensive model for insurance contracts, covering all relevant accounting aspects. The core of PFRS 17 is the general model, supplemented by:

  - A specific adaptation for contracts with direct participation features (the variable fee approach)
  - A simplified approach (the premium allocation approach) mainly for short-duration contracts

  On December 15, 2021, the FRSC amended the mandatory effective date of PFRS 17 from January 1, 2023 to January 1, 2025. This is consistent with Circular Letter No. 2020-62 issued by the Insurance Commission which deferred the implementation of PFRS 17 by two (2) years after its effective date as decided by the IASB.

  PFRS 17 is effective for reporting periods beginning on or after January 1, 2025, with comparative figures required. Early application is permitted.

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

  The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

  On January 13, 2016, the Financial and Sustainability Reporting Standards Council deferred the original effective date of January 1, 2016 of the said amendments until the IASB completes its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and other aspects of accounting for associates and joint ventures.

Basis of Consolidation

The consolidated financial statements include the financial statements of the Parent Company and its subsidiaries, which it controls as at September 30 of each year. The Parent Company has control over the investee when the Parent Company is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Presented below is the list of the subsidiaries.

	Percentage of Ownership			Noncontrolling Interest				
	2023	2022	2021	**2023**	2022	2021	Nature of Business	Principal Place of Business
Central Azucarera Don Pedro, Inc. (CADPI) [1]	**100.00%**	100.00%	100.00%	**–**	–	–	Production and selling of raw and refined sugar, molasses and related products	Taguig City and Nasugbu, Batangas
Central Azucarera de la Carlota, Inc. (CACI) [1] [2]	**–**	–	100.00%	**–**	–	–	Production and selling of raw sugar and molasses	Taguig City and Negros Occidental
CADP Insurance Agency, Inc. (CIAI)	**100.00%**	100.00%	100.00%	**–**	–	–	Insurance agency	Makati City
Roxol Bioenergy Corp. (RBC) [1] [2]	**–**	–	100.00%	**–**	–	–	Production and selling of bioethanol fuel and trading of goods such as sugar and related products	Negros Occidental
CADP Port Services, Inc. (CPSI)	**100.00%**	100.00%	100.00%	**–**	–	–	Providing ancillary services	Makati City
RHI Agri-Business Development Corporation (RABDC) [1]	**–**	–	100.00%	**–**	–	–	Agricultural business	Makati City
Roxas Pacific Bioenergy Corporation (RPBC) [1]	**–**	–	100.00%	**–**	–	–	Holding company for bioethanol investments	Negros Occidental
RHI Pacific Commercial Corp. (RHIPCC) [3]	**100.00%**	100.00%	100.00%	**–**	–	–	Selling arm of products of RHI Group	Makati City
San Carlos Bioenergy, Inc. (SCBI) [4]	**98.08%**	98.08%	98.08%	**6.65%**	6.65%	6.65%	Production and selling of bioethanol fuel	Negros Occidental
Roxas Power Corporation (RPC) [1]	**–**	–	50.00%	**–**	–	50.00%	Sale of electricity	Nasugbu, Batangas
Northeastern Port Storage Corporation (NPSC) [5]	**100.00%**	100.00%	100.00%	**–**	–	–	Owning the depot and storage facilities used by SCBI	Negros Occidental

(1) *On June 3, 2022, the SEC approved the merger of CADPI, CACI, RBC, RABDC and RPBC, with CADPI as the surviving company.*
(2) *On September 30, 2020, CACI and RBC ceased operations. The entities remain dormant as at September 30, 2021 (see Note 11).*
(3) *As at September 30, 2023, RHIPCC has not yet started commercial operations*
(4) *Acquired in April 2015 through RPBC (see Note 6)*
(5) *Indirect ownership through CADPI in 2022 and RPBC in 2021*

On February 1, 2012, the BOD of RHI approved a resolution to shorten the corporate life of CPSI, CIAI and RPC effective September 30, 2012. On the same date, the BOD also approved the merger of CADP Consultancy Services, Inc. (CCSI), CADP Farm Services, Inc. (CFSI) and Jade Orient Management Services, Inc. (JOMSI), which are non-operating subsidiaries and collectively referred to as “Absorbed Companies”, with CADPI. This decision was in line with the Group’s move to rationalize its operations. On April 14, 2014, the SEC issued the Certificate of Filing of Articles and Plan of Merger approving the merger of CCSI, CFSI and JOMSI with CADPI, as the surviving entity. In 2015, management changed its intention and decided to continue the corporate existence of RPC and requested the cancellation of the application for its business closure from the Bureau of Internal Revenue. As at September 30, 2023, the applications for the cancellation of the business of CPSI and CIAI are still pending approval from the pertinent government agencies.

3. Cash and Cash Equivalents

This account consists of:

	June 30, 2024 (Unaudited)	September 30, 2023 (Audited)
Cash on hand	**₱210**	₱310
Cash in banks and cash equivalents	**1,139**	51,142
	₱1,349	₱51,452

Cash in banks earn interest at the respective bank deposit rates.

4. Trade and Other Receivables

This account consists of:

	June 30, 2024 (Unaudited)	September 30, 2023 (Audited)
Trade	**₱149,651**	₱124,956
Due from:		
Planters and cane haulers	**41,991**	41,991
Employees	**–**	17,935
Others	**100,820**	100,755
	292,462	285,637
Allowance for impairment losses	**(174,149)**	(148,534)
	₱118,313	₱137,103

5. Inventories

This account consists of:

	June 30, 2024 (Unaudited)	September 30, 2023 (Audited)
At NRV:		
Materials and supplies	**₱113,585**	₱158,207
At cost:		
Others	**39,707**	34,031
	₱153,291	₱192,238

Cost of inventories valued at NRV is shown below:

	June 30, 2024 (Unaudited)	September 30, 2023 (Audited)
Materials and supplies	**₱179,563**	₱429,569
	₱179,563	₱429,569

6. **Other Current Assets**

This account consists of:

	June 30, 2024 (Unaudited)	September 30, 2023 (Audited)
Advances to suppliers	**₱56,195**	₱56,064
Input VAT	**4,085**	2,798
Prepayments	**9,062**	7,641
Refundable deposits	**6,571**	6,801
	₱75,913	₱73,304

Input VAT, which includes deferred input VAT, mainly arises from purchases of capital goods and services for operations.

7. **Property, Plant and Equipment, Assets Held for Sale and Discontinued Operations**

Property, Plant and Equipment

Acquisitions and disposals

During the nine months ended June 30, 2024, the Group did not acquire any assets.

Certain property, plant, and equipment with a carrying amount of ₱8,364.9 million were mortgaged and used as collateral to secure the loan obligations with the local banks (see Note 8).

Assets Held for Sale and Discontinued Operations

SCBI assets have been reported and classified as “Assets Held for Sale” in the Group’s consolidated audited financial statements for fiscal year ending as of September 30, 2023. Included in the assets held for sale are assets approximately valued at P3.516 Billion, including liabilities directly associated with these assets amounting to P1.703 Billion, as of June 30, 2024. The planned sale of SCBI represents disposal of a separate segment of operations of the Group, hence, the consolidated statements of income of the Group for fiscal year ending as of September 30, 2023, and for the period ending June 30, 2024, presented SCBI operations as “discontinued operations” of the Group.

In February 2024, following the indefinite shutdown of the refinery operations of CADPI, the respective Board of Directors of CADPI and RHI approved the permanent closure of CADPI’s refinery business effective February 28, 2024 due to serious business losses. Consequently, the CADPI Board of Directors likewise approved the termination of employment of approximately 241 CADPI employees on the ground of "closing or cessation of operations" under Article 298 of the Labor Code effective March 29, 2024.

8. **Long-term Borrowings**

The Group obtained various loans from local banks. Total outstanding payable arising from loan agreements are as follows:

Facility	Terms	Collateral	Outstanding Balance June 30, 2024	September 30, 2023
₱2,000.0 million dated September 29, 2021	Payable in equal semi-annual amortization amounting to ₱125.0 million starting December 2023 until June 2027 and a lump sum payment of the remaining balance on December 2027 and bears fixed interest of 5.75% for two years subject to repricing thereafter	Suretyship agreement and mortgage trust indenture (MTI)	₱1,875,000	₱2,000,000
₱1,500.0 million dated December 23, 2021	Payable in quarterly amortization amounting to ₱37.5 million starting December 2022 until September 2024 and a lump sum payment of the remaining balance on December 2024 and bears interest of 6.5% for three years	MTI	1,312,500	1,350,000
₱1,250.0 million dated December 22, 2020	Payable in quarterly amortization amounting to ₱32.9 million for five years starting March 2023 until September 2027 and a lump sum payment of the remaining balance on December 2027 and bears fixed interest of 6.00% for two years subject to repricing thereafter	MTI	1,118,440	1,1151,330
			4,305,940	4,501,330
Unamortized transaction costs			(13,911)	(15,932)
Noncurrent long-term borrowings			4,208,563	4,485,398
Current portion of long-term borrowings			(4,292,029)	(4,485,398)
			-₱-	₱-

Suretyship Agreements and MTI

The Group entered into various suretyship agreements and MTI with local bank creditors that secure the Group's obligations in solidarity against all the properties of RHI and CADPI. Property, plant and equipment with a depreciated replacement cost of ₱8,364.9 million and ₱9,316.2 million as at September 30, 2023 and 2022 were mortgaged and used as collateral to secure the loan obligations with the local bank creditors.

Loan Covenants

The foregoing loan agreements are subject to certain covenants, such as but not limited to:

- maintenance of debt service coverage ratio (DSCR) of at least 1.10 times and debt-to-equity ratio of not more than 2.33:1 starting 2023;
- prohibition on purchase of additional equipment, except in pursuance of its sugar expansion and ethanol project, unless the required financial ratios are maintained;
- prohibition on any material change in ownership or control of its business or capital stock or in the composition of its top level management; and
- prohibition on declaration or payment of dividends or any other capital or other asset distribution to its stockholders unless the required financial ratios are maintained.

As of September 30, 2023, the Group did not meet the minimum required DSCR and debt-to-equity ratio covenants. Accordingly, the Group reclassified long-term liabilities arising from loans to current liabilities. In December 2023, the Group obtained a letter of extension from the local bank creditors, namely, BPI and Landbank, supporting the request of the Group to settle the amortization due in March 2024 until June 2024. On the other hand, BDO declined the Group's request for waiver signifying acceleration of settlement of the outstanding balance of the loan owed to said bank.

The maturities of the long-term borrowings based on the terms of the loan agreements (reflecting the reclassification of the loan to short-term following the breach of the debt covenants in 2024 and 2023) are as follows:

	June 30, 2024 (Unaudited)	September 30, 2023 (Audited)	September 2 (Audit
Less than 1 year	**₱4,292,029**	₱4,485,398	
One year to less than 2 years	**–**	-	
Two years to less than 5 years	**–**	-	
Five years or more	**–**	-	
	₱4,292,029	₱4,485,398	

In March 2024, the Group defaulted on the payment of principal and interest due on bank loans owed to BDO and BPI. This resulted to the acceleration of settlement of outstanding loans owed to BDO and BPI.

9. Convertible Note – net

On December 17, 2021, the BOD approved the issuance of convertible debt securities amounting to ₱800 million to Metpower Ventures Partners Holding, Inc. (MVPHI), convertible to 8 million common shares of the Company at ₱10 value per share at the option of the holder at the maturity date of the note. MVPHI has the right and option (but not obligation) to exchange any number of SCBI's shares it holds for RHI's common shares at the exchange ratio to be agreed upon by RHI and MVPHI. The convertible is interest-bearing at 3.0% per annum and has a maturity of 7 years.

The convertible note is presented in the statements of financial position as at June 30, 2024 as follows:

Presented under liability directly associated with assets held for sale	₱815,752
Presented under equity	21,130
	₱836,882

10. Trade and Other Payables

This account consists of:

	Note	June 30, 2024 (Unaudited)	September 30, 2023 (Audited)
Trade		₱2,154,216	₱2,544,834
Provision for probable losses		200,496	200,434
Accruals for:			
Services		78,793	105,020
Payroll and other employee benefits		31,686	34,708
Interest		222,814	8,786
Utilities		70,230	8,430
Others		11,427	10,487
Payable to government agencies for taxes and statutory contributions		32,243	57,884
Due to:			
Planters		426	426
Related parties	13	–	–
Contract liabilities		30,317	17,664
Others		53,952	29,027
Reclassification to assets held for sale		–	(668,846)
		₱2,886,601	₱2,348,854

11. Equity

Details of capital stock and treasury stock follow:

	June 30, 2024 (Unaudited)		September 30, 2023 (Audited)	
	Number of Shares	Amount *(in Thousands)*	Number of Shares	Amount *(in Thousands)*
Authorized – common shares at ₱ 1.0 par value	2,000,000,000	₱2,000,000	2,000,000,000	₱2,000,000
Issued common shares	1,565,579,279	₱1,513,289	1,565,579,279	₱1,565,579
Treasury stock	(17,643,480)	(52,290)	(17,643,480)	(52,290)
Issued and outstanding	1,547,935,799	₱1,460,999	1,547,935,799	₱1,513,289

On July 14, 2017, the Parent Company's application for increase in authorized capital stock was approved by the SEC. On November 9, 2017, the PSE approved the listing of these newly subscribed 125,000,000 common shares.

13. Related Party Transactions and Balances

In the normal course of business, the Group has transactions with related parties as follows:

a. The Group made advances to RHI Retirement Fund, Inc. (RHIRFI) and CADPI Retirement Fund, Inc. (CADPIRFI) for a portion of the retirement payments made to the Group's qualified retired employees under defined benefit plan. Advances to RHIRFI and CADPIRFI are netted under "Trade and other payables" account.

b. Due to related parties, which are presented as part of "Trade and other payables" account, represents noninterest-bearing payable arising from advances.

Outstanding balances of transactions with related parties are unsecured and settlements are made in cash. The Group did not recognize any provision for impairment for the nine-month periods ended June 30, 2024 and 2023. This assessment is undertaken in each reporting period by reviewing the financial position of the related party and the market in which the related party operates.

14. Revenue from Contracts with Customers

The components of revenue are as follows:

	June 30, 2024 (Unaudited)	June 30, 2023 (Unaudited)
Sale of goods:		
Raw sugar	**₱-**	₱2,567,458
Refined sugar	**48,463**	1,611,795
Alcohol	-	1,438,244
Sugar syrup	-	279,594
Molasses	-	148,739
Carbon dioxide	-	3,080
	48,463	6,048,910
Sale of services:		
Power	-	3,931
Tolling fees	-	1,061
Tolling fees	-	443
	-	5,435
	48,463	₱6,054,345

15. Cost of Sales

	June 30, 2024 (Unaudited)	June 30, 2023 (Unaudited)
Direct materials used	**₱16,265**	₱5,350,461
Fuel and oil	**11,939**	259,457
Depreciation and amortization	**2,324**	280,472
Personnel costs	**91,145**	209,972
Outside services	**12,227**	143,856
Planters' subsidy and productivity assistance	**103**	85,913
Others	-	110,350
	₱134,003	₱6,440,481

16. Operating Expenses

	June 30, 2024 (Unaudited)	June 30, 2023 (Unaudited)
General and administrative expenses	₱526,328	₱372,096
Selling expenses	-	8,525
	₱526,328	₱380,621

General and Administrative Expenses

The components of general and administrative expenses are as follows:

	June 30, 2024 (Unaudited)	June 30, 2023 (Unaudited)
Personnel costs	₱150,281	₱205,870
Outside services	65,068	69,974
Depreciation and amortization	96,440	27,121
Professional fees	112,108	7,062
Taxes and licenses	83,958	24,411
Communication, light and water	13,350	7,219
Transportation and travel	2,339	2,307
Others	2,784	28,132
	₱526,328	₱372,096

Others mainly pertain to cost incurred for organizational activities, corporate social responsibility, office supplies, among others.

Selling expenses mainly pertain to sugar liens and dues, delivery charges and monitoring fees paid to various regulatory agencies prior to sale of sugar.

17. Personnel Costs

Personnel costs are allocated as follows:

	June 30, 2024 (Unaudited)	June 30, 2023 (Unaudited)
Costs of goods sold	₱ 91,145	₱209,972
General and administrative expenses	150,209	205,870
	₱241,354	₱415,842

18. **Other Income (Expense)** - Net

This account consists of:

	June 30, 2024 (Unaudited)	June 30, 2023 (Unaudited)
Reversal of long outstanding payables	**₱-**	₱60,607
Sale of scrap materials	**67,090**	14,868
Service fee		3,106
Storage, handling and insurance fees	**-**	834
Rent income	**-**	2,634
Interest income	**154**	77
Others	**23.494**	10,664
	90,738	92,790

19. **Financial Instruments**

Financial Risk Management Objectives and Policies

The Group's principal financial instruments comprise of cash in banks, trade and other receivables, and trade and other payables, which arise directly from its operations, and short and long-term borrowings.

The main risks arising from the Group's financial instruments are liquidity risk, credit risk and interest rate risk. The Group monitors the market price risk arising from all financial instruments. The Group's operations are also exposed to commodity price risk, particularly from sugar prices. Risk management is carried out by senior management under the guidance and direction of the BOD of the Parent Company.

Liquidity risk

Liquidity risk arises from the possibility that the Group may encounter difficulties in raising funds to meet maturing obligations.

The Group's objective is to maintain sufficient cash and cash in banks and the availability of funding through an adequate amount of committed credit facilities. Due to the dynamic nature of the business, the Group aims to maintain flexibility in funding by keeping track of daily cash flows and maintaining committed credit lines available.

The tables below summarize the maturity profile of the Group's financial liabilities based on contractual undiscounted payments and the related financial assets used for liquidity management.

June 30, 2024

	On demand	Less than one year	Over 1 year but less than 2 year	Over 2 year	Total
Financial assets:					
Cash and cash equivalents	₱2,929	₱–	₱–	₱–	₱2,929
Trade receivables***	30,602	-	-	–	30,602
Due from employees***	–	–	–	–	–
Due from related parties	–	–	–	–	–
Other receivables***	100,821	–	–	–	100,821
Refundable deposits****	6,571	–	–	–	6,571
	137,997	-	-	–	137,997
Financial liabilities					
Trade and other payables**	2,996,308	-	-	–	2,996,308

June 30, 2024					
	On demand	Less than one year	Over 1 year but less than 2 year	Over 2 year	Total
Current portion of long-term borrowings*	-	4,292,029	–	–	4,292,029
Noncurrent portion of long term borrowings*	–	–	-	-	-
Convertible note	–	–	–	-	-
Lease liabilities	–	-	–	–	-
	2,996,307	4,292,029	-	-	7,288,337
Liquidity position (gap)	(₱2,858,311)	(4,292,029_	₱-	₱-	(7,150,340)

Includes expected future interest payments for current portion of long-term borrowings amounting to ₱770.78 million.
*** Excludes payables to government agencies amounting to ₱64 million, provision for losses amounting to ₱200 million and contract liabilities amounting to ₱30 million.*
****Net of related allowances for impairment losses totaling ₱148.5 million.*
*****Presented under other current assets.*

September 30, 2023					
	On demand	Less than one year	Over 1 year but less than 2 year	Over 2 year	Total
Financial assets:					
Cash and cash equivalents	₱51,452	₱–	₱–	₱–	₱51,452
Trade receivables*	151,640	-	–	–	151,640
Due from employees*	17,935	–	–	–	17,935
Other receivables*	75,252	–	–	–	75,252
Refundable deposits	6,801	–	–	–	6,801
	303,080	-	–	–	303,080
Financial liabilities					
Trade and other payables**	2,064,959	-	–	–	2,064,959
Current portion of long-term borrowings***	–	5,345,119	–	–	5,345,119
Noncurrent portion of long-term borrowings***	–	–	-	-	-
Convertible note	–	–	–	-	-
Lease liabilities	–	-	-	–	-
	2,064,959	5,345,119	-	-	7,417,919
Liquidity position (gap)	(₱1,761,879)	(₱5,345,119)	-	-	(₱7,106,998)

** Net of related allowances for impairment losses totaling P=213.3 million.*
***Excludes payables to government agencies amounting to P=55.0 million, provision for losses amounting to P=200.2 million, and contract liabilities amounting to P=16.4 million.*
**** Includes expected future interest payments for current portion of long-term borrowings amounting to P=859.7 million*

Credit risk
Credit risk is the risk that the Group incurs a loss because its customers, clients or counterparties failed to discharge their contractual obligation. To mitigate this risk, it is the Group's policy that all customers who wish to trade on credit terms are subject to credit verification procedures, which includes evaluation of the customers' financial standing and determination of allowable credit limit and credit terms. In addition, receivable balances are monitored on an ongoing basis with the result that the Group's exposure to bad debts is not significant.

Concentrations of credit risk arise when a number of counterparties are engaged in similar business activities or activities in the same geographic region or have similar economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentration indicates the relative sensitivity of the Group's performance to developments affecting a particular industry. The Group does not have significant concentrations of credit risk as the Group's customers and dealers are dispersed throughout the country.

To reduce the Group's exposure to bad debts, the Group took a conservative approach in its credit risk management. A policy has been developed to ensure that processes and risk-aversion are carefully observed to eliminate dealings with business entities that may pose collection issues in the future. This policy reinforces the Group's procedures for identifying and managing exposures to credit risk. Since the Group trades only with recognized third parties, there is no requirement for collateral.

With respect to credit risk arising from other financial assets of the Group which consist of cash, the Group's exposure to credit risk arises from default of the counterparty, with a maximum exposure equal to the carrying amount of these instruments. There are no collaterals or other credit enhancements held over these assets.

a. Risk concentrations of the maximum exposure to credit risk

   There is a significant concentration of credit risk within the Group given that the Group has limited creditors, stockholders and local banks.

   With respect to credit risk arising from the Group's financial assets, which comprise cash and receivables, the Group's exposure to credit risk arises from default of the counterparty with a maximum exposure equal to the carrying amount of these instruments.

b. As at June 30, 2024 and September 30, 2023, the analysis of financial assets follows:

	June 30, 2024			
	Neither Past Due nor Impaired	**Past Due but not Impaired**	**ECL**	**Net of allowance for doubtful accounts**
Loans and receivables:				
Cash and cash equivalents*	**₱1,394**	**₱–**	**₱–**	**₱2,929**
Trade and other receivables				
Trade receivables	**–**	**118,312**	**118,312**	**118,312**
Refundable deposits**	**6,571**	**–**	**–**	**6,571**
	₱7,965	**₱118,312**	**₱118,312**	**₱126,277**

**Excluding cash on hand amounting to ₱0.2 million.*
***Included as part of other current assets (see Note 6)*

	September 30, 2023			
	Neither Past Due nor Impaired	Past Due but not Impaired	ECL	Net of allowance for ECL
Loans and receivables:				
Cash and cash equivalents*	₱51,452	₱–	₱–	₱51,452
Trade and other receivables				
Trade receivables	-	151,640	105,625	151,640
Due from employees	–	18,985	133	18,985
Other receivables	–	76,624	-	76,624
Refundable deposits**	6,801	–	–	6,801
	₱58,253	₱247,249	₱105,758	₱305,502

**Excluding cash on hand amounting to ₱0.4 million.*
***Included as part of other current assets (see Note 6)*

The Group's neither past due nor impaired receivables are high grade receivables which, based on experience, are highly collectible and exposure to bad debt is not significant.

As at June 30, 2024 and September 30, 2023, the age of the entire Group's past due but not impaired receivables is over 60 days.

Trade Receivables

The Group uses a provision matrix to calculate ECL for trade receivables. The provision rates are determined based on the Group's historical observed default rates analyzed in accordance to days past due by grouping of customers based on customer type and channels. The Group adjusts historical default rates to forward-looking default rate by determining the closely related economic factors affecting each customer segment. At each reporting date, the observed historical default rates are updated and changes in the forward-looking estimates are analyzed.

Set out below is the information about the credit risk exposure on the Group's trade receivables using a provision matrix as of June 30, 2024 and September 30, 2023.

		June 30, 2024 Days past due				
	Current	<30 days	30-60 days	61 to 90 days	> 90 days	Total
Estimated credit loss rate	0%	0%	0%	0%	100%	100%
Estimated total gross carrying amount at default	₱-	₱-	₱-	₱-	₱118,312	₱118,312
Expected credit loss	-	-	-	-	118,312	118,312

		September 30, 2023 Days past due				
	Current	<30 days	30-60 days	61 to 90 days	> 90 days	Total
Estimated credit loss rate	2%	8%	23%	47%	82%	19%
Estimated total gross carrying amount at default	₱177	₱-	₱212	₱41	₱290,817	₱291,247
Expected credit loss	4	-	49	19	210,522	210,594

c. Impairment analysis

For cash and cash equivalents, the Group applies the low credit risk simplification. The probability of default and loss given defaults are publicly available and are considered to be low credit risk investments. It is the Group's policy to measure ECLs on such instruments on a 12-month basis. However, when there has been a significant increase in credit risk since origination, the allowance will be based on the lifetime ECL. The Group uses the ratings from the external credit rating agencies to determine whether the debt instrument has significantly increased in credit risk and to estimate ECLs.

For due from related parties, an impairment analysis is performed at each reporting date using a provision matrix to measure expected credit losses. The provision rates are based on days past due for groupings of various customer segments with similar loss patterns (i.e., by customer type or by payors). The calculation reflects the probability-weighted outcome, the time value of money and reasonable and supportable information that is available at the reporting date about past events, current conditions and forecasts of future economic conditions. Generally, due from related parties are written-off if the account is at least one year past due and are deemed uncollectible after subjecting to all possible collection effort activities. No ECL was recognized on due from related parties as of June 30, 2024 and September 30, 2023.

Commodity price risk
The Group is exposed to commodity price risk from conventional physical sales and purchase of sugar managed through volume, timing and relationship strategies. The Group does not enter into commodity derivatives.

The Group's sales commitments are contracted at fixed prices, and thus have no impact on the consolidated cash flows in the next 12 months.

Interest rate risk
The primary source of the Group's interest rate risk relates to interest-bearing financial liabilities. The interest rates on these liabilities are disclosed in Notes 8 and 9.

The Group has no loans as at June 30, 2024 and September 30, 2023 that bear floating interest and expose the group to interest rate risk.

The other financial instruments of the Group are noninterest-bearing and are therefore not subject to interest rate risk.

Capital Management
The primary objective of the Group's capital management is to ensure that it maintains strong credit and healthy capital ratios in order to support its business and maximize shareholder value.

The Group's dividend declaration is dependent on availability of earnings and operating requirements. The Group manages its capital structure and makes adjustment to it, in light of changes in economic conditions. To maintain or adjust capital structure, the Group may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies or processes for the periods ended June 30, 2024 and September 30, 2023.

Management considers the total consolidated equity reflected in the consolidated statement of financial position as its capital. The Group monitors its use of capital using leverage ratios, specifically, debt-to-equity ratio.

Fair Values

The carrying amounts of the Group's financial assets and liabilities approximate their fair values due to their short-term nature or the interest rates that they carry approximate the interest rate on comparable instruments in the market. For the long term loans, these are subject to both fixed and floating rates.

The following methods and assumptions are used to estimate the fair value of each class of financial instruments.

Cash and cash equivalents, trade receivables, due to and from related parties, due from employees, other receivables, trade and other payables, short-term borrowings, current portion of long-term borrowings and dividends payable. The carrying amounts of these instruments approximate fair values due to their short-term maturities.

Long-term borrowings. Fair values of long-term borrowings as at June 30, 2024 and September 30, 2023 were determined based on Level 2 in which the inputs are based on the discounted interest rate of the prevailing comparable instrument in the market.

20. **Segment Reporting**

The Group has two reportable segments: sugar and alcohol. The Group's sugar segment consists of two operating subsidiaries: CADPI that manufactures and sells raw and refined sugar, molasses and provides tolling and farm operations services. The alcohol segment consists of one operating subsidiary, SCBI, that manufactures and sells bioethanol fuel.

The Group has only one geographical segment as all of its assets are located in the Philippines. The Group operates and derives principally its revenue from domestic operations. Thus, geographical business information is not required.

The Group's senior management regularly reviews the operating results of the business units to make decisions on resource allocation and assess performance. Segment revenue and segment expenses are measured in accordance with PFRS. The presentation and classification of segment revenue and segment expenses are consistent with the consolidated statements of income.

The following tables present information about the Group's operating segments:

	Nine-Month Period Ended June 30, 2024 (Unaudited)			
	Sugar	Alcohol	Eliminations	Consolidated
Revenue:				
External customers	₱48,643	₱-	₱–	₱48,643
Inter-segment	-	-	-	-
Cost of goods sold:				
Direct materials used	16,265	-	–	16,265
Fuel and oil	11,939	-	–	11,939
Depreciation and amortization	2,324	-	–	2,324
Planters' subsidy and productivity assistance	91,145	-	–	91,145
Interest expense	302,322	-	–	302,322
Segment loss	(375,353)	-	–	(375,353)

	Nine-Month Period Ended June 30, 2023 (Unaudited)			
	Sugars	Alcohol	Eliminations	Consolidated
Revenue:				
External customers	₱4,008,602	₱2,045,743	₱–	₱6,054,345
Inter-segment	–	325	(185,661)	–
Cost of goods sold:				
Direct materials used	4,164,972	1,369,408	(183,919)	5,350,461
Fuel and oil	161,091	119,381	–	280,472
Depreciation and amortization	106,714	152,743	–	259,457
Planters' subsidy and productivity assistance	–	85,913	–	85,913
Interest expense	261,969	39,026	–	300,995
Segment loss	(803,470)	(171,509)	–	(974,979)

MANAGEMENT'S DISCUSSION AND
ANALYSIS OF RESULTS OF OPERATIONS AND FINANCIAL CONDITION

The following Management Discussion and Analysis should be read in connection with the submitted Unaudited Interim Condensed Consolidated Financial Statements as at and for nine-month periods ended June 30, 2024 and 2023.

Financial Highlights and Key Performance Indicators

Amounts in Millions except Shares	**June 30, 2024 (Unaudited)**	September 30, 2023 (Audited)	Increase (Decrease) Amount	%
Balance Sheet				
Fixed assets	**₱9,072**	₱9,336	(264)	(2.8%)
Total assets	**12,939**	13,494	(555)	(4.1%)
Shareholders' equity	**2,249**	3,168	(919)	(29%)
Net debt [1]	**4,292**	4,485	(193)	(4.3%
Equity ratio	**17.39%**	23.48%	(6.09%)	(26%)
Net debt as % of equity	**1.91x**	1.42x	0.49x	34.5%
Shares				
Market capitalization	**2,245**	1,006	1,239	123%
Total shares issued	**1,548**	1,548	–	–
Closing price per share	**1.45**	0.65	(0.8)	123%

Amounts in Millions except Operational Data	**Nine Months Ended June 30 (Unaudited) 2024**	2023	Increase (Decrease) Amount	%
Revenue and Earnings				
Revenue	**₱49**	₱6,054	(₱6,005)	(99%)
Gross income (loss)	**(85)**	(386)	(301)	(78%)
Depreciation	**99**	279	(180)	(65%)
Operating expenses	**227**	381	(154)	(40%)
Interest expense	**302**	301	1	0.33%
Net loss	**(832)**	(975)	(143)	(14.67%)
EBITDA	**(495)**	(395)	(100)	25%
EBITDA margin [2]	**(1,010%)**	(6.52%)	(1,003%)	
Return on equity	**(36.99%)**	(22.7%)	(14.29%)	
Loss per share	**(0.54)**	(0.63)	0.09	
Cash Flow and Investments				
Cash flow provided by operations	**230**	(226)	4	1.77%
Investment in fixed assets	-	166	(166)	(100%)
Operational Data *(volume in thousands)*				
Tons cane milled	-	-	-	-
Production:				
Refined sugar (Lkg)	-	567	(567)	(100%)
Ethanol (liters)	-	16,867	(16,867)	(100%)

(1) Net debt is derived by deducting cash and cash equivalents from total debt (short-term borrowings, convertible note and long-term debt, including current portion).
(2) EBITDA margin for the period is measured as EBITDA divided by revenues.

The Group's financial performance is determined to a large extent by the following key results:

1. Raw sugar production – a principal determinant of consolidated revenues and is computed as the gross amount of raw sugar output of CADPI.

2. Refined sugar production – the most important determinant of revenues and computed as the gross volume of refined sugar produced by the CADPI refinery both as direct sales to industrial customers and traders or as tolling manufacturing service, limited by production capacity and by the ability of the Group to market its services to both types of customers.

3. Ethanol production – a measure of ethanol production yield compared to unit and cost of input and is computed as ethanol produced (in liters) from each ton of molasses undergoing distillation and dehydration processes.

4. Earnings before interest, taxes, depreciation and amortization (EBITDA) – the measure for cash income from operations and computed as the difference between revenues and cost of sales and operating and other expenses, but excluding finance charges from loans, income taxes and adding back allowances for depreciation and other non-cash amortization.

5. Return on equity – denotes the capability of the Group to generate returns on the shareholders' funds computed as a percentage of net income to total equity.

Company Overview

Roxas Holdings, Inc. (RHI), a sugar and energy company, is the largest integrated sugar business and the biggest ethanol producer in the Philippines. The Company started operating as a sugar milling company in Nasugbu, Batangas in 1927 and was then known as Central Azucarera Don Pedro.

The Company's subsidiaries include the following:

- Central Azucarera Don Pedro, Inc. (CADPI), located in Batangas, provides the refined sugar requirements of traders and industrial customers such as multinational food and beverage and pharmaceutical companies in Luzon.

- San Carlos Bioenergy, Inc. (SCBI), located at San Carlos Ecozone, Barangay Palampas and Punao, San Carlos City, Negros Occidental, operates integrated sugar mill and bioethanol distillery complex.

Results of Operations

Revenues

	Nine Months Ended June 30 (Unaudited)		Increase (Decrease)	
Amounts in Millions	**2024**	2023	Amount	%
Raw sugar	**₱-**	₱2,567	(₱2,567)	(100%)
Refined sugar	**31**	1,612	(1,581)	(98%)
Molasses	**18**	148	(131)	(88%)
Tolling fees	**-**	1	(1)	(100%)
	49	4,329	(4,280)	(99%)
Alcohol	**-**	1,438	(1,438)	(100%)
Sugar syrup	**-**	280	(280)	(100%)
Others	**-**	7	(7)	(100%)
	₱49	6,054	(₱6,005)	(99%)

Consolidated revenues for the nine months ended June 30, 2024 amounted to ₱49 million, ₱6,005 million or 99% lower than the ₱6,054 million consolidated revenues reported in the same period in 2023, primarily due to the shutdown of operations in both CADPI and SCBI.

Sugar – Revenue from sugar operations decreased by ₱4,280 million or 99% against last year's revenue of ₱4,329 million due to shutdown of operation mainly affected by over importation of refined sugar.

Alcohol – Revenue from alcohol operations was nil due to temporary shutdown of the SCBI plant.

The bioethanol assets of SCBI, and the SCBI operations (as a separate segment of the Group's business) have been classified as "assets held for sale", and "discontinued operations", respectively, in the Group's consolidated audited financial statements for fiscal year ending as of September 30, 2023.

On the other hand, the respective Board of Directors of CADPI and RHI approved the closure of CADPI's sugar refinery business effective February 28, 2024 due to serious business losses.

Operating Expenses

Amounts in Millions	Nine Months Ended June 30 (Unaudited) 2024	2023	Increase (Decrease) Amount	%
Professional fees	**₱158**	₱7	₱151	2,157%
Salaries, wages and other employee benefits	**142**	206	(64)	(31%)
Outside services	**70**	53	17	32%
Depreciation and amortization	**99**	27	72	267%
Taxes and licenses	**31**	24	7	29%
Communication, light and water	**16**	7	9	129%
Others	**10**	57	(47)	(82%)
	₱526	381	145	38%

Consolidated operating expenses for the nine months ended June 30, 2024, increased by ₱145 million or 38% compared to the same period in 2023.

Interest
Interest expense amounted to ₱302.3 million for the nine months ended June 30, 2024, which is 0.4% or ₱1.4 million higher than the ₱300.9 million reported in the same period in 2023, due to interest expenses from bank debt.

Net Loss
Consolidated net loss for the nine months ended June 30, 2024, amounted to ₱832.14 million, which is ₱142.84 million lower than the ₱974.98 million net loss reported in the same period in 2023. Consequently, loss per share is ₱0.53 and ₱0.62 for the nine months ended June 30, 2024, and 2023, respectively.

EBITDA
EBITDA for the nine months ended June 30, 2024 is lower by ₱101 million or 25% than the ₱395 million loss reported in the same period in 2023.

Financial Condition

Consolidated total assets as at June 30, 2024 amounted to ₱12,939 million, which is ₱555 million lower than the ₱13,494 million as at September 30, 2023. Current assets decreased by ₱105.2 million, from ₱454.1 million as at September 30, 2023 to ₱349 million as at June 30, 2024.

During the nine months ended June 30, 2024, the Group defaulted on the scheduled payment for the principal and interest due on its long-term borrowings amounting to ₱222.8 million including penalty.

Trade and other payables amounted to ₱2,886 million as at June 30, 2024, which is ₱537 million higher than the ₱2,348.8 million reported as at September 30, 2023.

Off-Balance Sheet Arrangements

The Group is not aware of any material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships with unconsolidated entities or other persons created during the reporting period.

OTHER INFORMATION

1. New projects or investments in another project, line of business or corporation;
   None for the period.

2. Composition of Board of Directors;

Name	Position
PEDRO O. ROXAS	Chairman
MANUEL V. PANGILINAN	Vice Chairman
CHRISTOPHER H. YOUNG	Director
ALEX ERLITO S. FIDER	Director
SANTIAGO T. GABIONZA, JR.	Independent Director
OSCAR J. HILADO	Independent Director
ARLYN S. VILLANUEVA	Independent Director

3. Performance of the corporation or result or progress of operations;

   See unaudited interim condensed consolidated financial statements and management's discussion and analysis of results of operations and financial conditions

4. Suspension of operations;

   Please refer to Note 7 (Property, Plant and Equipment, Assets Held for Sale and Discontinued Operations)

5. Declaration of dividends; None for the period

6. Contracts of merger, consolidation or joint venture; contract of management, licensing, marketing, distributorship, technical assistance or similar agreements; None for the period

7. Financing through loans; None for the period

8. Offering of rights, granting of Stock Options and corresponding plans therefor; None for the period

9. Acquisition of other capital assets or patents, formula or real estates; None for the period

10. Any other information, event or happening that may affect the market price of the Company's shares; None for the period

11. Transferring of assets, except in the normal course of business; None for the period

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

Registrant:

ROXAS HOLDINGS, INC.

Signature and Title:

CHRISTOPHER DANIEL C. LIZO
Chief Finance Officer

WHILOZEL D. CANLAS
AVP-Finance & Treasury

Date:

24 July 2025

ROXAS HOLDINGS, INC. AND SUBSIDIARIES

ANNEX A. AGING OF TRADE AND OTHER RECEIVABLES
AS AT JUNE 30, 2024 AND SEPTEMBER 30, 2023
(Amounts in Thousands)

		JUNE 30, 2024					
		Past due but not impaired					
	Current	1-30 days	31-60 days	Over 60 days	Subtotal	Impaired	Total
Trade	₱–	₱–	₱–	₱149,651	₱149,651	₱149,651	₱–
Due from:							
Planters	–	–	–	41,991	41,991	4,817	46,8084
Employees	–	–	–	–	–	–	–
Other receivables	–	–	–	100,820	100,820	–	100,820
	₱–	₱–	₱–	₱292,462	₱292,462	₱154,468	₱137,994

		September 30, 2023					
		Past due but not impaired					
	Current	1-30 days	31-60 days	Over 60 days	Subtotal	Impaired	Total
Trade	₱188,741	₱12,956	₱10,985	₱81,946	₱105,887	₱133,222	₱427,850
Due from:							
Planters	20,023	–	–	–	–	31,755	51,778
Employees	25,250	–	–	–	–	133	25,383
Other receivables	–	–	–	68,868	68,868	2,209	71,077
	₱234,014	₱12,956	₱10,985	₱150,814	₱174,755	₱167,319	₱576,088

ROXAS HOLDINGS, INC. AND SUBSIDIARIES

ANNEX B. FINANCIAL SOUNDNESS INDICATORS

JUNE 30, 2024 AND 2023

		JUNE 30	
		2024	2023
Current ratio	Current assets/Current liabilities	0.49	0.2
Debt to equity ratio	Total liabilities/Total equity	4.75	2.13
Asset to equity ratio	Total assets/Total equity	5.75	3.13
Return on assets	Net income/Total assets	(6.4%)	(7.3%)
Return on equity	Net income/Total equity	(37%)	(22.7%)
Book value per share	Total equity/Outstanding shares	1.45	2.8